government issued a letter to all State Governments, and after incorporating their views in regard to the shape and structure of the proposed corporations, it introduced the State Financial Corporations Bill in the Parliament. The Bill was presented to the Parliament by C.D. Deshmukh, when he was the Finance Minister in December 1950, and it was passed in September 1951. The State Financial Corporations (SFC) Act empowering the State Governments to establish financial corporations in their respective States came into force from August 1, 1952.

But IFCI and the SFCs, because of the considerable risk involved, confined themselves to lending activities during the first few years and kept away from the underwriting and investing business. As a result a large number of new entrepreneurs and smaller concerns faced problems in raising funds from the market because of their weak financial position and poor credit standing. When the private sector failed to meet the investments targets of the First Five-Year Plan, the government set up two committees to examine the causes for the shortfall. The first was the Taxation Enquiry Commission, chaired by the former Finance Minister, John Matthai, which was asked to examine the effects of the structure and level of income taxes on capital formation and productive investment. The second was the Committee on Finance for the Private Sector chaired by A.D. Shroff (and better known as the Shroff Committee), whose primary brief was to examine ways in which increased finance, in particular bank finance, could be made available to the private sector. There was concern that the terms of reference of the Shroff Committee would clash with the terms of reference of the Taxation Enquiry Commission and the Shroff Committee was asked to confine its attention to areas which were not already under investigation by the Matthai Commission.

There seems to have been some disagreement as regards the scope of the study with the RBI favouring a comprehensive investigation of the financial requirements of the private sector, and Deshmukh who was Finance Minister preferring the study to be confined to ‘bank finance alone for industry, especially the small man in West Bengal and elsewhere’[1]. The RBI Governor proposed a small three or four-member Committee comprising A.D. Shroff; J. V. Joshi from the RBI; a prominent banker; and an official of the Planning Commission. But Deshmukh preferred a bigger Committee and in the end, the Committee which was appointed by the RBI on October